Co-developed as a joint venture with Metlonics

CHANDIGARH DRONE FACILITY · OCTOBER 2026

Securing India's skies: drones & counter-UAS growth plan

Market, budget allocation and 10-year sales plan – Defence · Paramilitary · Civil



SpaceGen Aviation Aerospace and Defence Private Limited · Hyderabad

THE OPPORTUNITY AT A GLANCE

A fast-growing market, and a company already selling into it

₹12,300 Cr

India drone + counter-drone spend, FY 2026-27 (estimate)

₹65,750 Cr

Projected annual spend by FY 2036-37 – more than 5×

18+

Army units already supplied, plus BSF and state police

₹21.8 → ₹140 Cr

Chandigarh facility sales, Year 1 to Year 10 (Base case)

23.0%

10-year Chandigarh sales CAGR (Base case)

1.4% → 2.0%

Share of the northern-sector segment the Chandigarh facility addresses

WHY NOW

Since Operation Sindoor, India is buying drones and C-UAS at record pace

₹1,85,467 Cr

Defence modernisation budget FY27, +24.6%; 75% reserved for Indian industry

≈ ₹30,000 Cr

Emergency and fast-track buys incl. drones, loitering munitions, C-UAS, EW

≈ ₹20,000 Cr

Army plan for drones & surveillance; a further tactical-drone order of over ₹20,000 Cr expected

≈ ₹52,000 Cr

DAC approvals (Jul 2026) incl. anti-drone and kamikaze drones – RFPs to follow

≈ 380

Infantry battalions with an ‘Ashni’ drone platoon; ~5,000 drones per command

44,000+

DGCA remote-pilot certificates issued – training demand keeps rising

Sources: MP-IDSA, Indian Express, Reuters / DFI, Channel IAM, IANS, DGCA data (2026)

BUDGET ALLOCATION

Defence and Home Affairs budgets, FY 2026-27

Ministry of Defence (₹ crore)

Head	FY26 BE	FY27 BE	Change
Total MoD budget	6,81,210	7,84,678	+15.2%
Capital outlay	1,80,000	2,19,306	+21.8%
Modernisation	1,48,839	1,85,467	+24.6%
– for Indian industry	—	1,39,100	75%
Services revenue	3,11,732	3,65,479	+17.2%

Home Affairs – PMF (₹ crore)

Head	FY26 RE	FY27 BE
Total MHA	2,41,485	2,55,234
All CAPFs	1,12,636	1,16,789
BSF	29,568	29,568
Police modernisation	3,280	4,061
Border infrastructure	5,472	5,577

Border states add their own spend: Punjab sanctioned ₹51.4 Cr for 9 ‘Baaz Akh’ anti-drone systems from Chandigarh to Fazilka.

Sources: MP-IDSA (MoD BE 2026-27); PRS Legislative Research (MHA Demand for Grants 2026-27); PTI (Aug 2025)

MARKET SIZE AND GROWTH

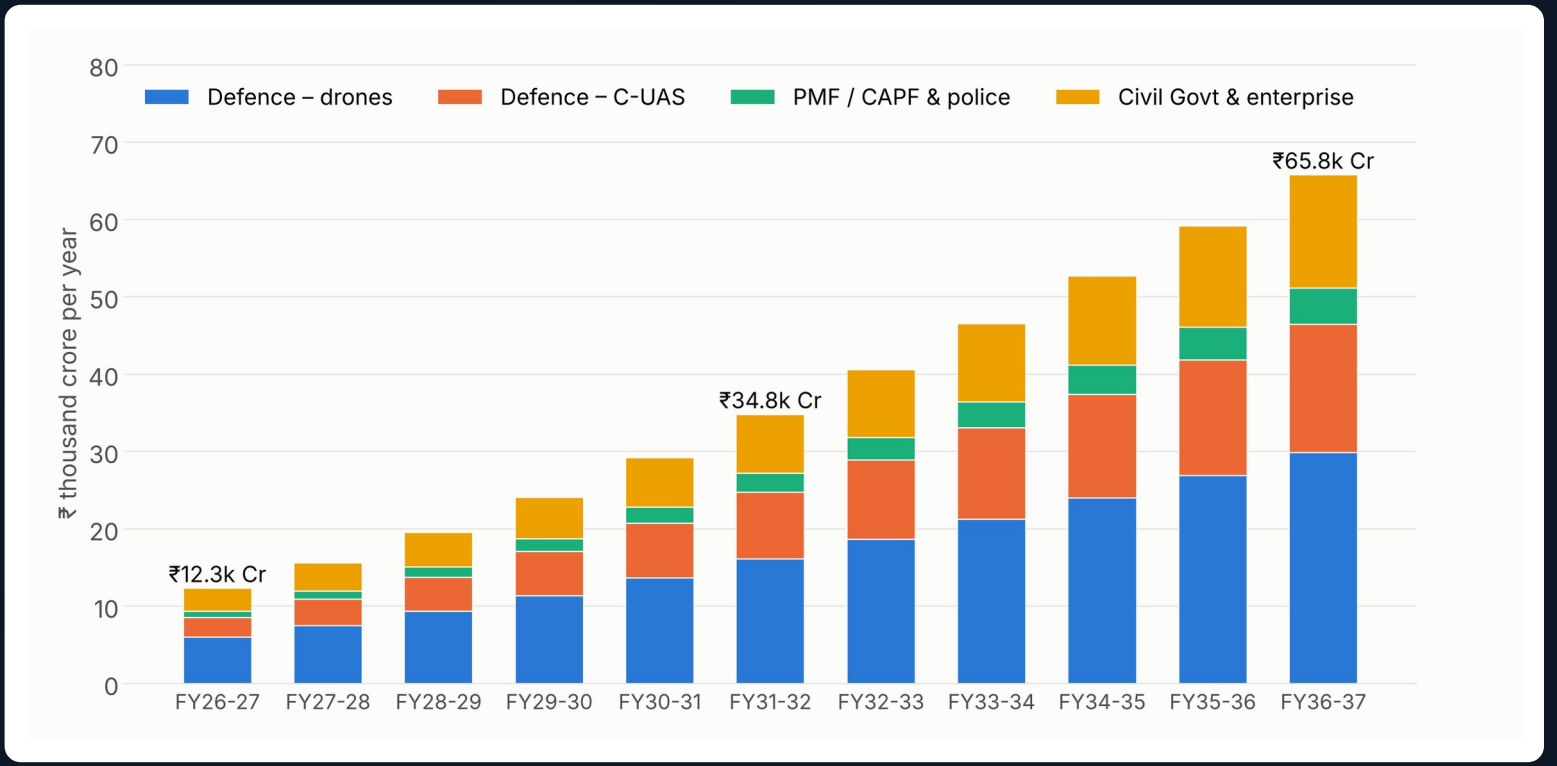
Counter-drone is the fastest-growing slice – ≈38% a year in India

Market	Size	Forecast	CAGR	Source
India drone (UAV) market	US$0.47 bn (2025)	US$1.39 bn (2030)	24.4%	MarketsandMarkets
India anti-drone market	US$197.5 mn (2025)	US$983.7 mn (2030)	37.9%	MarketsandMarkets
– military & defence	US$163.8 mn	US$783.1 mn	36.7%	MarketsandMarkets
– homeland security	US$13.6 mn	US$75.5 mn	41.0%	MarketsandMarkets
India drones + anti-drones	≈ US$1.27 bn (2026)	—	—	DroneIntelligence
India C-UAS addressable, 5 yrs	≈ ₹12,000 Cr (≈1,200 systems)	—	≈28%	Motilal Oswal / DD News
Indian drone industry turnover	₹60 Cr (2021) → ₹3–4k Cr (2025)	₹19–20k Cr	—	Drone Federation of India
Global military drones	US$34.9 bn (2026)	US$109.2 bn (2031)	25.7%	MarketsandMarkets
Global counter-UAS	US$9.2 bn (2026)	US$29.7 bn (2031)	26.5%	MarketsandMarkets

Published third-party estimates; definitions differ between sources

YEAR-ON-YEAR BUDGET BY DOMAIN

Annual spend grows from ₹12,300 Cr to ≈₹65,750 Cr in ten years



₹8,500 → ₹46,400 Cr

Defence drones + C-UAS

₹800 → ₹4,700 Cr

PMF / CAPF & police

₹3,000 → ₹14,600 Cr

Civil Govt & enterprise

SpaceGen estimate, triangulated from published market reports and MoD / MHA budgets – not an official allocation

YEAR-ON-YEAR BUDGET TABLE (₹ CRORE, ESTIMATE)

Defence, PMF and Civil – & the part the Chandigarh facility addresses

Year	Defence drones	Defence C-UAS	PMF & police	Civil	Total	YoY	Chandigarh addr.*
FY26-27	6,000	2,500	800	3,000	12,300	—	1,220
FY27-28	7,500	3,375	1,040	3,660	15,575	26.6%	1,578
FY28-29	9,300	4,455	1,331	4,465	19,551	25.5%	2,011
FY29-30	11,346	5,702	1,664	5,358	24,070	23.1%	2,508
FY30-31	13,615	7,128	2,030	6,430	29,203	21.3%	3,068
FY31-32	16,066	8,696	2,436	7,587	34,785	19.1%	3,678
FY32-33	18,637	10,261	2,874	8,801	40,573	16.6%	4,307
FY33-34	21,246	11,800	3,334	10,121	46,501	14.6%	4,938
FY34-35	24,008	13,334	3,801	11,538	52,681	13.3%	5,586
FY35-36	26,889	14,934	4,257	13,038	59,118	12.2%	6,256
FY36-37	29,847	16,577	4,725	14,603	65,752	11.2%	6,945

*Chandigarh-addressable = northern-sector part (30% / 30% / 25%) of SpaceGen's addressable defence drone, C-UAS and PMF segments; civil is HQ-led

WHERE TO INVEST

Lead with defence C-UAS and Army tactical drones

Sector	Growth	Fit with SpaceGen products	Priority
Defence C-UAS (Army AD, IAF bases)	Very high (30%+)	Sentinel, Scout, Shield, MITYA, interceptors, net / foam drones	1 – lead
Army tactical drones	High (20–25%)	FPV range, Aniketra / Samharak VTOL, transport drones, payloads	1 – lead
Training & simulation	High	Chandigarh RPTO, Sky Commander simulator, FPV training	2 – steady cash
PMF / CAPF / border-state police	High (25%+)	Tethered drones, handheld detectors, jammers, VTOL ISR	2
Civil – roads, power, oil & gas	Medium-high (18–22%)	Fixed-wing / VTOL mapping, LiDAR, inspection; C-UAS for refineries	3 – diversify
Exports (friendly countries)	Medium, lumpy	C-UAS, interceptors, FPV	3 – from Year 3

SpaceGen TODAY · PRODUCT PORTFOLIO

A full drone and counter-drone range, already in service

FPV & strike
4" & 5" attack and grenade-dropper FPV, 150 km/h

VTOL ISR
ANIKETRA, SAMHARAK – 4 h, 60+ km, 2.5 kg payload

Interceptors
LAKSHYA, ARJUNA, ARJUN VYUHA, ARJUN KAVACH – up to 500+ km/h

Counter-UAS
Scout, Sentinel (35 km), Shield, MITYA GNSS spoofer, jammers

Capture
Net-thrower and foam-spraying drones – intact for forensics

Tethered
24×7 EO/IR surveillance at 120 m; 5 kg payload variant

Logistics & payloads
70–150 kg transport drones, smoke launchers, portable helipad

Training
Sky Commander fixed-wing simulator; FPV military training

Source: SpaceGen product brochures

TRACTION AND CREDENTIALS

Trusted by Army units – led by an Army drone instructor

18+ Army units and security forces supplied

- 20 Bihar
- 16 Bihar
- 13 Dogra
- 12 JAK LI
- 23 Rashtriya Rifles
- 68 Medium Regt
- 93 Medium Regt
- 94 Medium Regt
- 293 Medium Regt
- 173 Infantry Brigade
- 17 BSF
- TN Police – CM Security
- TN Police Intelligence
- GITAM University

CEO

Ex-Army; 3 years as instructor in drones, counter-drones and SDR at MCEME. Former students serve in Northern, Western and Central Commands.

Ready to sell

Registered on GeM (ID 4RRO250013676721). Investor plan: ₹30 Cr Year-1 target at 40% gross margin, team 15 → 35.

THE CHANDIGARH HUB

A demo, test and training base next to the most drone-active theatres



₹1.74 Cr
capital cost, incl. ₹15 lakh simulator zone

5,000 sq ft
technical hall: display, test lab, development

3-level course
obstacle course + 5-acre flying field + RPTO

Purpose: bring Northern & Western Command formations to see, fly and buy

3D impression of the Chandigarh facility · SpaceGen Aviation Aerospace and Defence Private Limited

SITE LAYOUT · 2-ACRE CAMPUS + 5-ACRE FLYING FIELD

Gate → passage: parking on the left, flying arena on the right

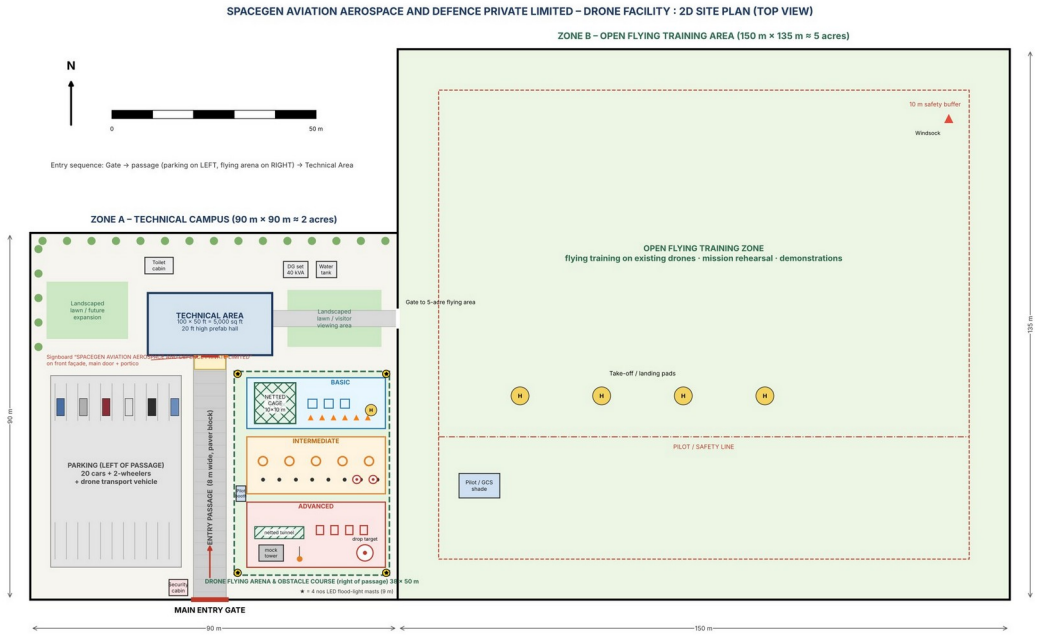


Figure 1 – 2D site plan (top view)



Figure 3 – 3D aerial view of the technical campus

TECHNICAL AREA · 5,000 SQ FT PREFAB HALL, 20 FT HIGH

Five zones under one roof – now with a simulator zone as you enter

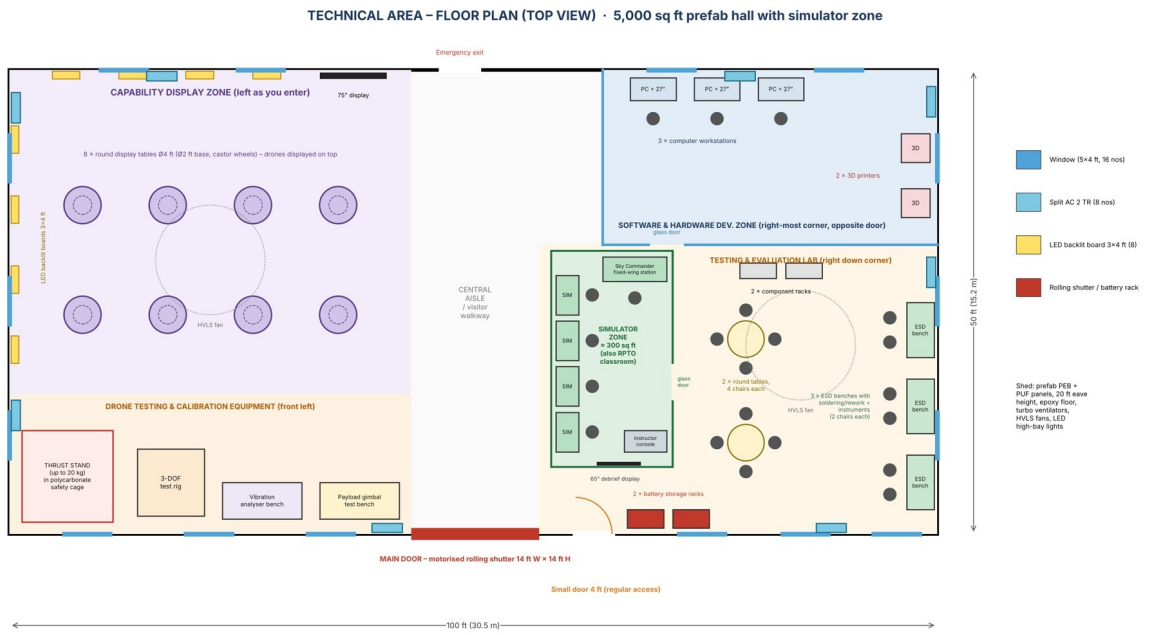


Figure 4 – Floor plan with simulator zone (right of the aisle as you enter)

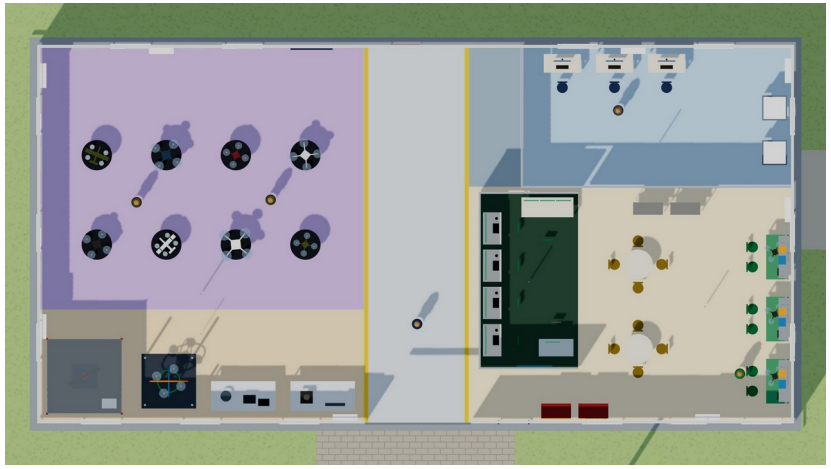


Figure 5 – 3D top view (roof removed)

Left: capability display (8 tables, 8 LED boards)
Front left: thrust stand, 3-DOF, vibration, gimbal
Right of aisle: simulator zone (new, ≈300 sq ft)
Right: testing lab; S/W & H/W zone at rear

TECHNICAL AREA · 3D VIEW

Inside the hall – display, test, simulator and development zones



Capability display
8 revolving Ø4 ft tables with drones on top; 8 backlit 3×4 ft boards; 75" display

Test & calibration
20 kg thrust stand in safety cage, 3-DOF rig, vibration analyser, payload gimbal bench

Simulator zone (new)
4 flight-simulator stations, Sky Commander station, instructor console, 65" debrief display – doubles as RPTO classroom

Testing & evaluation lab
3 ESD benches, 2 round tables, component and battery racks

Software & hardware
3 workstations and 2 × 3D printers behind glass at the rear right

Figure 7 – 3D panoramic view from front-right (cut-away) · SpaceGen Aviation Aerospace and Defence Private Limited

ELEVATIONS AND SIDE VIEW

A 20 ft prefab shed with the SpaceGen signboard on the front fascia

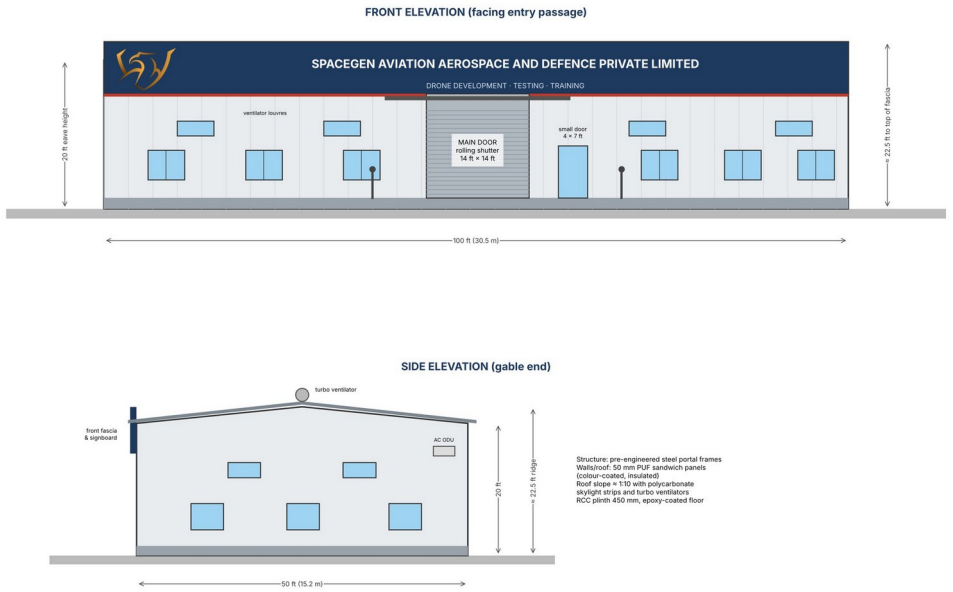


Figure 8 – Front and side elevations (2D)



20 ft / 22.5 ft

eave height / top of fascia

PEB + PUF

steel portal frames, 50 mm insulated panels

Figures 8 and 9 · SpaceGen Aviation Aerospace and Defence Private Limited

DRONE FLYING ARENA & OBSTACLE COURSE

Three lanes take trainees from basic hover to urban-style missions



Level	Elements	Training objective
Basic	Netted cage 10 × 10 × 6 m, 3 hover boxes, cone slalom, H-pad	Take-off / landing, hover, yaw, orientation
Intermediate	5 hoop gates, 8 slalom poles, 2 altitude bars, 2 landing targets	Precision, speed, altitude control, spot landing
Advanced	Netted tunnel Ø3 × 12 m, 4 window frames, 2-level mock tower, swinging obstacle, payload-drop target	Confined-space, urban / ISR scenarios, payload drops
Lighting & safety	4 × 400 W LED flood lights on 9 m masts, pilot booth, fence, windsock	Evening / low-light training, safe operations

38 × 50 m
arena in three colour-coded lanes

5 acres
open flying field for range and BLOS training

₹13.67 lakh
complete obstacle course incl. netted cage and 4 flood lights (head F)

Arena 38 × 50 m, right of the passage · ₹13.67 lakh incl. 4 flood lights · SpaceGen Aviation Aerospace and Defence Private Limited

UPDATED BILL OF QUANTITIES · NEW HEAD H

A simulator zone on the right as you enter the shed – ₹15 lakh

Item (head H – Simulator zone)	Qty	Rate ₹	Amount ₹
Flight simulator stations – PC, 3 × 24" monitors, RC transmitter, sim software	4	1,50,000	6,00,000
Sky Commander fixed-wing / VTOL simulator station	1	2,00,000	2,00,000
FPV goggle training kits with radios	4	40,000	1,60,000
Instructor console with 65" debrief display	1	1,50,000	1,50,000
Simulator desks and ergonomic seats	5	20,000	1,00,000
Glass partition, door and acoustic panels (≈300 sq ft)	lot	1,20,000	1,20,000
Split AC 2 TR (inverter)	1	55,000	55,000
UPS 3 kVA online with batteries	1	60,000	60,000
Electrical points, LAN and Wi-Fi	lot	55,000	55,000
Sub-total H – Simulator zone			**15,00,000**

≈ 300 sq ft

glass-partitioned room right of the central aisle, next to the main door

RPTO-ready

DGCA asks for a ~300 sq ft classroom and 2 simulators – this zone provides both

Train before flying

trainees and Army units practise on simulators, then move to the arena

COST SUMMARY · CHANDIGARH FACILITY

Total budget ₹1.74 Cr with the simulator zone

Head	Description	Amount ₹	₹ lakh
A	Technical area – prefab shelter & building services (5,000 sq ft, 20 ft)	81,74,000	81.74
B	Software & hardware development zone	8,02,000	8.02
C	Drone testing & evaluation lab	6,85,000	6.85
D	Capability display zone	5,76,000	5.76
E	Drone testing & calibration equipment	11,90,000	11.90
F	Flying arena & obstacle course	13,67,000	13.67
G	Site works & utilities	31,10,000	31.10
H	**Simulator zone**	**15,00,000**	**15.00**
	TOTAL (excl. GST)	**₹ 1,74,04,000**	**174.04**

₹1.59 Cr

facility heads A–G – unchanged, inside the earlier ₹1.50–1.65 Cr band

+ ₹15 lakh

simulator zone (head H) for RPTO and unit training

= ₹1.74 Cr

total infrastructure budget; ₹85.6 lakh a year to run (6-person team)

ELEVEN ENABLERS · WHO DRIVES EACH

Chandigarh drives five enablers; Hyderabad HQ leads six

1 · High · now
Existing customers & referrals

2 · High · now
Demos at Chandigarh facility

3 · High · now
Demos to forward Army units

4 · High · Year 1
RPTO – DGCA certification & unit training

5 · High · Year 1
GeM listing & regular RFPs

6 · Medium · Year 2–3
Central procurement via RFI → RFP

7 · Med-high · Year 1–2
PMF & civil fixed-wing (roads, power, oil & gas)

8 · Medium · Year 2–3
DPSU partnering – BEL, HAL, BDL

9 · Medium · Year 3+
Expos & seminars → exports

10 · Med-high · Year 1–2
Joint development & joint IP with Army

11 · Long-term high · Year 3+
MUM-T, zone protection, swarm defence

Format
number · practicality · when revenue starts

1 – 5 · Chandigarh facility
Led and booked at Chandigarh – the basis of all Chandigarh sales and operating-cost figures.

6 – 11 · Hyderabad HQ
6, 10, 11 and now also 7, 8, 9 (PMF & civil, DPSU partnering, exports) are led and booked at Hyderabad HQ; Chandigarh supports with demos.

ENABLER REVIEW · CHANDIGARH ENABLERS 1 TO 5

Fast revenue from the facility's own enablers

#	Enabler	Practicality	Starts	What it needs	Main risk	Y5 ₹Cr	Y10 ₹Cr
1	Existing customers & referrals	High	Now	Field-trial experts, demo kit	Units' local budgets	21	36
2	Chandigarh facility demos	High	Facility opening	6-person team, demo fleet	Visitor security procedures	17	28
3	Forward-area demos	High	Now	SUV, 3-person team, permissions	Weather, budget timing	14	24
4	RPTO & unit training	High	Year 1	2 instructors, simulator zone (4 + 1 sims)	Approval time; price	6.5	14
5	GeM & regular RFPs	High	Year 1	Full GeM listing, bid desk	L1 pricing; EMD / PBG cash	18	38
	Sub-total – Chandigarh enablers 1–5					**76.5**	**140**

The CEO's former MCEME students in Northern and Western Command, demos at the facility and the RPTO give the quickest and cheapest orders. All five run from the Chandigarh team from Year 1 and are the only enablers counted in the Chandigarh plan.

ENABLER REVIEW · HYDERABAD HQ ENABLERS 6 TO 11

Long-cycle and partner enablers stay with Hyderabad HQ

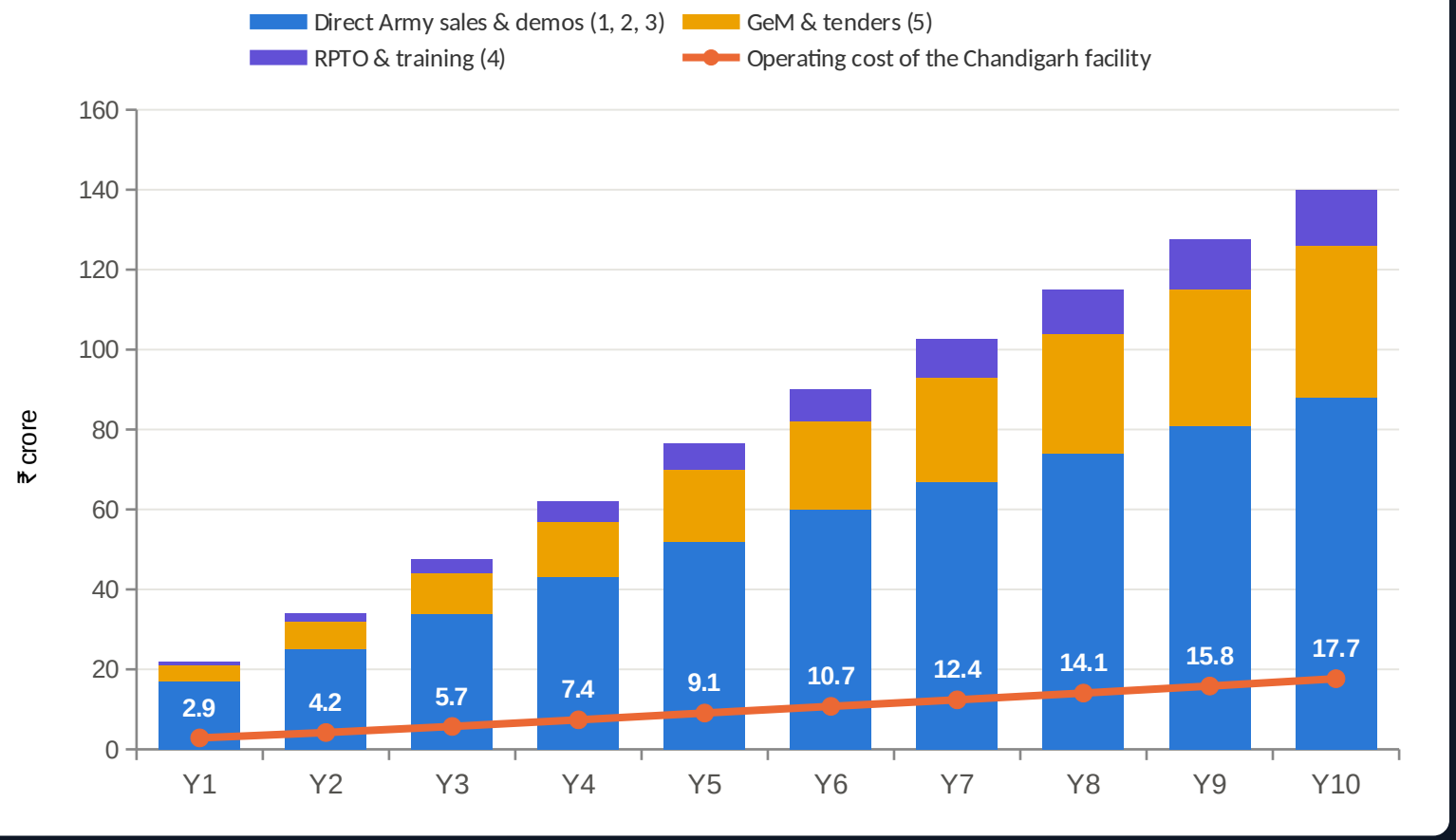
#	Enabler	Practicality	Starts	Hyderabad HQ role	Chandigarh support	HQ Y10 ₹Cr
6	Central procurement via RFI → RFP (FTP / EP / capital)	Medium	Year 2–3	Trials, certifications, bank guarantees	Field trials in the north	95
7	PMF & civil departments – fixed-wing / VTOL (roads, power, oil & gas)	Med-high	Year 1–2	Sales, payloads, DGCA type certificates	Demos on request	34
8	DPSU partnering – BEL, HAL, BDL sub-systems	Medium	Year 2–3	Vendor registration, QA, design	Integration trials	22
9	Expos & seminars → exports	Medium	Year 3+	Expos, SCOMET licences, partners abroad	Demos for delegations	18
10	Joint development & joint IP with Army	Med-high	Year 1–2	Problem statements, iDEX, IP agreements	User feedback	16
11	Integrated MUM-T, zone protection, swarm defence	Long-term high	Year 3+	Systems engineering, C2 software	Test support	46

Moved to Hyderabad HQ: enablers 7, 8 and 9 are now led and booked at Hyderabad HQ together with 6, 10 and 11. They need more expertise, dedicated technical teams and long cycles, so none of their sales or costs are counted at Chandigarh.

Not counted in Chandigarh sales or operating cost · HQ Y10 = company-wide plan figure

TEN-YEAR SALES PLAN · CHANDIGARH · BASE CASE

₹21.8 Cr to ₹140 Cr in ten years – a 23% CAGR



Years 1–3

Sales ₹21.8 Cr → ₹47.5 Cr; operating cost ₹2.9 Cr → ₹5.7 Cr. Army network, Chandigarh demos, RPTO, GeM.

Years 4–6

Sales ₹62 Cr → ₹90 Cr; operating cost ₹7.4 Cr → ₹10.7 Cr. GeM, forward demos and repeat Army orders grow.

Years 7–10

Sales ₹102.5 Cr → ₹140 Cr; operating cost ₹12.4 Cr → ₹17.7 Cr. MRO and refresher training add to a mature hub.

Year 1 = FY 2027-28 · net sales, ₹ crore, excluding GST · numbers in brackets = enabler

SALES BY ENABLER · ₹ CRORE · Y1 = FY27-28 … Y10 = FY36-37

Sales by enabler, and the facility's operating cost

Enabler	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
1 Existing customers	9	12	15	18	21	24	27	30	33	36
2 Chandigarh facility demos	5	8	11	14	17	20	22	24	26	28
3 Forward-area demos	3	5	8	11	14	16	18	20	22	24
4 RPTO & training	0.8	2	3.5	5	6.5	8	9.5	11	12.5	14
5 GeM & RFPs	4	7	10	14	18	22	26	30	34	38
Total sales – Chandigarh (1–5)	**21.8**	**34**	**47.5**	**62**	**76.5**	**90**	**102.5**	**115**	**127.5**	**140**
YoY growth	—	56%	40%	31%	23%	18%	14%	12%	11%	10%
Operating cost – Chandigarh facility	**2.9**	**4.2**	**5.7**	**7.4**	**9.1**	**10.7**	**12.4**	**14.1**	**15.8**	**17.7**
Increase in operating cost	—	1.3	1.5	1.7	1.7	1.7	1.6	1.7	1.8	1.8

Enablers 6–11 (central procurement, PMF & civil, DPSU partnering, exports, joint development, integrated solutions) are Hyderabad HQ's and are not included.

Base case · net sales excluding GST · operating cost = running cost of the Chandigarh facility (excl. depreciation)

YEAR-ON-YEAR SCALE-UP · YEARS 1–5

What grows sales and operating cost each year

Year	Sales	Op. cost	Team	Key growth drivers	Facilities at Chandigarh	Investment
Y1 FY27-28	₹21.8 Cr	₹2.9 Cr	6	Re-orders & referrals from 18+ units; Chandigarh demos; first GeM orders; RPTO starts	Facility live (₹1.74 Cr) incl. simulator zone; RPTO application	₹2–3 Cr seed
Y2 FY28-29	₹34 Cr +56%	₹4.2 Cr +1.3	8	RPTO DGCA-authorised; repeat GeM orders ₹7 Cr; forward demos ₹5 Cr	2nd demo vehicle; spares & repair bay	Accruals + HQ bank line
Y3 FY29-30	₹47.5 Cr +40%	₹5.7 Cr +1.5	10	Northern-sector drones moved to Chandigarh (Technical Ownership Transfer); GeM ₹10 Cr	Local integration & QA	Accruals
Y4 FY30-31	₹62 Cr +31%	₹7.4 Cr +1.7	12	Forward demos ₹11 Cr; existing customers ₹18 Cr; demos reach South Western Command	₹1.0 Cr integration & MRO shed	₹1.0 Cr from accruals
Y5 FY31-32	₹76.5 Cr +23%	₹9.1 Cr +1.7	14	2nd RPTO batch line (training ₹6.5 Cr); GeM ₹18 Cr	C-UAS demo range tie-ups	Accruals

Team = Chandigarh headcount · op. cost = running cost of the Chandigarh facility, excl. depreciation · ₹ crore

YEAR-ON-YEAR SCALE-UP · YEARS 6–10

What grows sales and operating cost each year

Year	Sales	Op. cost	Team	Key growth drivers	Facilities at Chandigarh	Investment
Y6 FY32-33	₹90 Cr +18%	₹10.7 Cr +1.7	16	MRO & sustainment across J&K, Punjab, HP; existing customers ₹24 Cr	MRO for installed base	Accruals
Y7 FY33-34	₹102.5 Cr +14%	₹12.4 Cr +1.6	18	GeM ₹26 Cr; Chandigarh demos ₹22 Cr; growth settles near 11–14%	₹1.5 Cr C-UAS test & integration bay	₹1.5 Cr from accruals
Y8 FY34-35	₹115 Cr +12%	₹14.1 Cr +1.7	20	Product-refresh demos; existing customers ₹30 Cr	Next-gen interceptor & C-UAS demos	Accruals
Y9 FY35-36	₹127.5 Cr +11%	₹15.8 Cr +1.8	22	Refresher training for Ashni platoons in the sector; GeM ₹34 Cr	Mature northern hub	Accruals
Y10 FY36-37	₹140 Cr +10%	₹17.7 Cr +1.8	24	Full-service northern hub – sales, training and MRO	24-person team	Accruals

Team = Chandigarh headcount · op. cost = running cost of the Chandigarh facility, excl. depreciation · ₹ crore

PROCUREMENT SIGNALS THAT MATTER FOR SPACEGEN

Buyers move fast – and the northern sector is where they buy

Signal	What it means for Chandigarh
≈ ₹30,000 Cr emergency / fast-track buys after Op Sindoor (drones, loitering munitions, C-UAS, EW)	Formations buy quickly from vendors with field-proven kit – Chandigarh demos show it
Army plans ≈ ₹20,000 Cr for drones & surveillance; ₹1,577 Cr loitering-munition contracts (Aug 2026)	Large central orders are HQ-led; Chandigarh supports trials in the north
DFI: next tactical-drone order may exceed ₹20,000 Cr (US$2 bn), delivery in 18–24 months	Tier-2 roles with primes and DPSUs – HQ-led (enabler 8)
DAC ≈ ₹52,000 Cr AoN incl. anti-drone (AKASH TARANG), kamikaze drones (Jul 2026)	RFPs follow; HQ partners DPSUs, Chandigarh runs field trials
Ashni drone platoon in every infantry battalion; ~5,000 drones per command	Recurring demand for FPV drones, spares, training and simulators
BEL IDDIS ≈ ₹572 Cr; Zen ₹332 Cr C-UAS order; BSF Drone Warfare School (Aug 2025)	C-UAS buying is recurring across Army, IAF and BSF
44,000+ Remote Pilot Certificates, 39,000+ drones registered; 145 RPTOs	Few RPTOs in J&K / north Punjab – room for the Chandigarh RPTO
Punjab ‘Baaz Akh’ – ₹51.4 Cr for 9 anti-drone systems from Chandigarh to Fazilka	State police C-UAS demand right on Chandigarh’s doorstep

OPERATING COST · CHANDIGARH FACILITY · BASE CASE

Operating cost grows from ₹2.9 Cr to ₹17.7 Cr a year

₹ crore	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Salaries	0.46	0.67	0.90	1.17	1.47	1.81	2.21	2.65	3.14	3.70
Admin & facility running	0.26	0.31	0.37	0.44	0.51	0.59	0.68	0.77	0.88	0.99
HQ support visits	0.05	0.05	0.06	0.06	0.07	0.07	0.07	0.08	0.08	0.09
Demonstration tours	0.08	0.09	0.11	0.12	0.14	0.16	0.18	0.21	0.24	0.28
One-time induction move	0.03	—	—	—	—	—	—	—	—	—
Selling & marketing (3% of sales)	0.65	1.02	1.43	1.86	2.29	2.70	3.08	3.45	3.83	4.20
HQ technical support (4% of sales)	0.87	1.36	1.90	2.48	3.06	3.60	4.10	4.60	5.10	5.60
Warranty & field support (2%)	0.44	0.68	0.95	1.24	1.53	1.80	2.05	2.30	2.55	2.80
Total operating cost	**2.85**	**4.19**	**5.71**	**7.37**	**9.07**	**10.74**	**12.37**	**14.06**	**15.82**	**17.66**
Increase in operating cost	—	1.34	1.52	1.66	1.70	1.67	1.63	1.69	1.76	1.84
Operating cost as % of sales	13.1%	12.3%	12%	11.9%	11.9%	11.9%	12.1%	12.2%	12.4%	12.6%
Headcount (Chandigarh)	6	8	10	12	14	16	18	20	22	24

₹0.89 Cr fixed

Year-1 fixed running cost – team, admin, HQ visits, demos, move (Rev 2)

₹99.8 Cr

total operating cost over ten years (Base case)

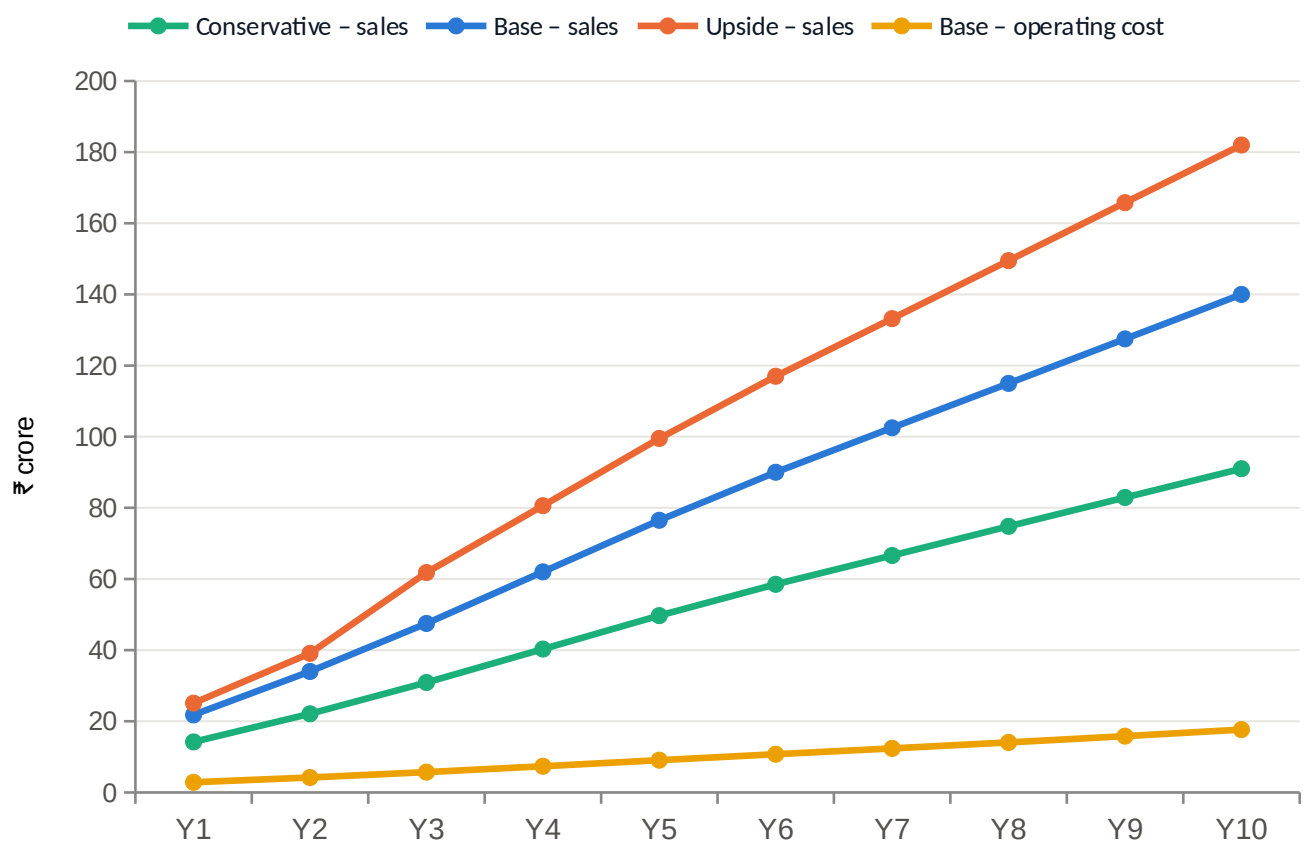
13.1% → 12.6%

operating cost as a share of Chandigarh sales

₹ crore · running cost of the facility, excl. depreciation and GST · Year 1 = FY 2027-28

SCENARIOS · CHANDIGARH

Conservative ₹91 Cr · Base ₹140 Cr · Upside ₹182 Cr by Year 10



10-year total	Sales	Op. cost
Conservative	₹531 Cr	₹74.1 Cr
Base	**₹816.8 Cr**	**₹99.8 Cr**
Upside	₹1,053.6 Cr	₹121.2 Cr

Conservative: slower demos, RPTO approval delayed, fewer GeM orders.

Upside: northern-sector products transferred early; more GeM and repeat Army orders.

Fixed running cost is the same in every case; only the sales-linked 9% changes.

Conservative = 65% of Base · Upside = Base +15% in Y1–2, +30% from Y3 · ₹ crore

MARKET SHARE · CHANDIGARH

The plan needs only about 2% of the northern market it serves

Year 1 · FY27-28

1.4%

₹21.8 Cr sales of ₹1,578 Cr Chandigarh-addressable market

Year 5 · FY31-32

2.1%

₹76.5 Cr sales of ₹3,678 Cr Chandigarh-addressable market

Year 10 · FY36-37

2%

₹140 Cr sales of ₹6,945 Cr Chandigarh-addressable market

₹ crore	FY27-28	FY31-32	FY36-37
India drone + C-UAS spend (all domains)	15,575	34,785	65,752
SpaceGen-addressable (national)	6,293	14,443	27,351
Chandigarh-addressable (northern sector)	**1,578**	**3,678**	**6,945**
Chandigarh sales (Base)	21.8	76.5	140

Chandigarh-addressable = northern-sector part of SpaceGen's addressable segment (Northern & Western Command, BSF Punjab/Jammu, J&K & Punjab police; civil is HQ-led)

PRODUCT MIX · CHANDIGARH

C-UAS, interceptors and VTOL ISR grow as FPV share falls

Product family (share of Chandigarh sales)	Year 1	Year 5	Year 10
FPV attack / grenade-dropper drones & payloads	37%	26%	20%
Counter-UAS – detectors, jammers, MITYA spoofer, Shield	32%	30%	30%
Interceptor drones – Lakshya, Arjuna, Arjun Kavach	8%	13%	15%
VTOL ISR – Aniketra, Samharak (Army ISR)	9%	13%	16%
Tethered surveillance, transport drones, helipad	8%	10%	11%
Simulators & training (RPTO, Sky Commander)	6%	8%	8%

Note

Drones specific to the Northern sector will be considered for shifting to the Chandigarh facility. Their names will be explained by Capt Vego, and they will be transferred to the Chandigarh facility on Technical Ownership Transfer, at transfer cost.

FUNDING PLAN · CHANDIGARH

A ₹2–3 Cr seed builds the facility; growth funds expansion

Now · Year 1

₹2–3 Cr seed

- Facility incl. simulator zone ₹1.74 Cr
- Year-1 fixed running cost ≈ ₹0.89 Cr
- Demo fleet & training drones ≈ ₹0.30 Cr
- (Technical Ownership Transfer cost of the products is not included, will be discussed separately)

Years 4 and 7

₹2.5 Cr expansion

- ₹1.0 Cr integration & MRO shed (Y4)
- ₹1.5 Cr C-UAS test & integration bay (Y7)
- Both funded from internal accruals

Milestones investors can track

- Y1: facility, simulator zone & RPTO live; ₹21.8 Cr sales; ₹2.9 Cr op. cost
- Y2: RPTO authorised; ₹34 Cr sales
- Y3: northern-sector products transferred to Chandigarh
- Y5: ₹76.5 Cr sales; ₹9.1 Cr op. cost
- Y10: ₹140 Cr sales; ₹17.7 Cr op. cost

Order working capital from SpaceGen's ₹5 Cr bank line · SpaceGen Aviation Aerospace and Defence Private Limited

RISKS AND MITIGATION · CHANDIGARH

Known risks, each with a plan

Risk	Effect	Mitigation
Slow transfer of northern-sector products	Longer delivery; fewer orders	Agree product list (Capt Vego) and Technical Ownership Transfer terms in Year 1; keep demo stock
RPTO approval delay	Training revenue slips	Apply as soon as the simulator zone is ready; run unit training packages meanwhile
Visitor permissions & security	Fewer facility demos	Pre-cleared visitor programme with formations; forward-area demos in parallel
Working capital for orders	Cannot take larger GeM / PMF orders	HQ's ₹5 Cr bank line; 20–30% milestone advances
Fast-changing threat	C-UAS products date quickly	SDR-based, software-upgradable designs from HQ; user feedback loop
Concentration on Army in one sector	Budget swings hit sales	Grow training, GeM, CAPF and police sales; PMF, civil and export work sits with HQ
Key-person dependence	Demos and conversion slow	Field-trial team of ex-defence experts; deputy Centre Head from Year 3
Weather & terrain	Fewer flying days	Indoor simulator zone and netted arena; seasonal demo calendar

PARTNER WITH US

A ready facility, customers next door, and a northern market growing 4× in ten years.

Basis of the numbers

- Chandigarh facility only: enablers 1–5 (6–11 are Hyderabad HQ's)
- Year 1 = FY 2027-28; ₹ crore, excluding GST, 2026 prices
- Products at HQ transfer price; costs from the Rev 2 operating budget
- Market spend is an estimate from published reports and budgets

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